

# Quantifying Return Ambiguity: A Study of Intraday Distributions and Cross-Entropy-Based Portfolio Modeling

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## Abstract

In financial markets, uncertainty arises not only from the outcomes themselves (“risk”), typically measured by variance or Value-at-Risk (VaR), but also from the probability distributions that generate those outcomes (“ambiguity”), a phenomenon known in economics as model uncertainty or ambiguity aversion. Traditional risk measures often fail to capture this deeper form of uncertainty, which is rooted in incomplete or imprecise knowledge about future returns. This paper proposes a utility-based decision framework that incorporates both expected return and a quantitative ambiguity index. The ambiguity index is calculated using cross-entropy between daily return distributions and moving-window intraday return distributions of varying lengths (e.g., 30 to 120 minutes), thus capturing short- and medium-term informational instability. By applying high-frequency data from the CSI 300 index and representative A-share stocks, we examine the relationship between ambiguity and excess returns. Our empirical findings reveal that ambiguity is negatively related to short-term portfolio performance, especially during periods of market turbulence. Moreover, portfolio strategies integrating the ambiguity index outperform traditional risk-based approaches in backtesting. This study contributes to asset pricing literature by providing a practical method for quantifying return ambiguity and demonstrates its relevance for investment decision-making under uncertainty.

*Keywords:* Ambiguity Index, Cross-Entropy, Expected Utility under Uncertainty, High-Frequency Trading

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## 1. Introduction

Financial markets are complex systems operating under conditions of pervasive uncertainty, necessitating robust methodologies that extend beyond

idealized models. Traditionally, this uncertainty has been addressed through the well-established paradigm of risk, a situation where the probabilities of various outcomes are objectively known. In contrast, a deeper form of uncertainty, known as ambiguity Knight (1921) or Knightian uncertainty, arises when the probability distributions themselves are unknown, imprecise, or subjectively perceived. Ambiguity is defined as a situation in which the first-order probabilities (the likelihoods of the states of nature or outcomes) are not uniquely assigned but are themselves treated as random variables Ellsberg (1961). This fundamental distinction highlights that risk and ambiguity are independent concepts Klbanoff et al. (2005). Risk aversion is a preference for a smaller payoff with a greater likelihood of success when probabilities are known, while ambiguity aversion is a dislike for options where the probabilities are unknown. This behavioral phenomenon is a key driver of market outcomes, such as stock market volatility and incomplete contracts. Despite the importance of this distinction, traditional risk measures often fail to capture this deeper form of uncertainty, which is rooted in incomplete or imprecise knowledge about future returns. This creates a significant gap in financial modeling and risk management, underscoring the need for a new measure of ambiguity that is not only distinct from traditional risk metrics but also possesses superior predictive power for dynamic portfolio and risk management (Bollerslev et al., 1988).

To address this gap, this paper introduces a new measure of ambiguity, denoted by  $\mathcal{A}_t^{CEA}$ , grounded in the multiplier-preference model pioneered by Hansen and Sargent (2001). Our motivation stems from the limitations of existing ambiguity measures and the ability of a cross-entropy-based approach to capture a more dynamic, granular form of uncertainty in financial markets. The use of cross-entropy is motivated by its ability to precisely quantify the *information lost* when a model probability distribution is used to approximate the true, unknown distribution Klbanoff et al. (2005). This directly measures the inefficiency of a financial model, providing a highly interpretable and robust proxy for model misspecification. The mathematical relationship between Cross-Entropy and KL Divergence MacKay (2003) means that minimizing cross-entropy is equivalent to minimizing the Kullback-Leibler (KL) divergence between the empirical and benchmark distributions. The multiplier-preference framework Epstein and Schneider (2008) provides a powerful lens through which to understand ambiguity aversion. It models decision-making under uncertainty by evaluating options against the worst-case prior within a set of plausible distributions Maccheroni et al. (2006),

with KL divergence serving as the penalty for how far these priors deviate from a nominal one Epstein and Schneider (2008). This allows the measure to capture a decision-maker’s perceived ambiguity in a quantifiable way, directly reflecting their aversion to uncertainty about the underlying probabilities.

Our proposed measure,  $\mathcal{A}_t^{CEA}$ , distinguishes itself from existing methods by leveraging high-frequency intraday data to capture the full-shape changes of return distributions, including tail behavior and skewness, which go beyond traditional volatility-based measures. Methods such as Choquet Expected Utility (CEU) and Maxmin Expected Utility (MEU) are primarily theoretical, using non-additive beliefs or multiple priors that are less direct for empirical quantification using market data and often lead to non-linear optimization. Similarly, measures like Expected Utility Under Uncertainty (EUUP) quantify ambiguity by examining the variance of probability densities, a more simplistic approach that may not capture the full distributional shape or higher-order moments crucial in financial markets. In contrast, the unique theoretical foundation of  $\mathcal{A}_t^{CEA}$  provides a data-driven quantification method that connects directly to financial data and is designed for dynamic portfolio management. A key advantage is its superior predictive power for future returns, a capability that is central to the paper’s argument for its utility in practical financial applications. It also provides direct connections to system identification and risk measure theory, enabling a data-driven and interpretable approach that is not as apparent with other methods.

This paper makes several distinct contributions to the fields of financial economics and distributionally robust optimization. First, we introduce a novel, cross-entropy-based ambiguity measure,  $\mathcal{A}_t^{CEA}$ , developed under the multiplier-preference model. This measure uniquely quantifies return ambiguity using high-frequency intraday data, providing a dynamic and granular characterization of uncertainty that is distinct from traditional risk metrics and exhibits superior predictive power for future returns. Second, we provide a rigorous empirical analysis demonstrating the superior predictive power of  $\mathcal{A}_t^{CEA}$ . Our findings reveal a robust positive relationship between  $\mathcal{A}_t^{CEA}$  and short term returns, an effect that is statistically distinct from that of conventional risk measures such as realized volatility, skewness, and kurtosis. The minimal multicollinearity between our measure and these traditional metrics further highlights that  $\mathcal{A}_t^{CEA}$  captures an independent dimension of market uncertainty. Third, and most importantly, we conduct a series of causal econometric analyses to establish that  $\mathcal{A}_t^{CEA}$  has a distinct and independent effect on future returns. Our methodology extends beyond simple correla-

tion by incorporating several key analyses, including Granger causality to demonstrate predictive power across multiple time lags. We analyze how the relationship between ambiguity and returns is moderated by different market conditions (bull vs. bear markets) and varying levels of realized volatility. This provides a nuanced understanding of when and how ambiguity becomes a more significant factor. By including control variables like turnover rate in our regressions, we isolate the unique effect of ambiguity from other market factors. Furthermore, we investigate potential mediating channels, such as liquidity provision, through which ambiguity influences returns. To address potential endogeneity and provide a more robust causal inference, we propose and implement an instrumental variable approach, which strengthens the conclusion that ambiguity is a distinct and independent driver of returns, rather than just a correlated proxy.

The remainder of this paper is structured as follows. Section 2 provides a comprehensive review of the theoretical foundations of ambiguity and existing measures. Section 3 details the methodology for constructing  $\mathcal{A}_t^{CEA}$ . Section 4 presents the empirical results, including the econometric analyses and backtesting. Section 5 concludes with a summary of findings and outlines directions for future research.

## 2. Literature review

### 2.1. Ambiguity in Economic Theory

Since the pioneering work of von Neumann and Morgenstern (1947), Expected Utility Theory (EUT) has been widely applied to model investor attitudes toward risk. In Markowitz’s seminal mean–variance framework (1952), risk entered portfolio optimization via variance, reshaping modern finance and laying the groundwork for dynamic strategies by Merton (1971) and others. Savage (1954) further formalized the axiomatic foundations of EUT, yet experimental anomalies—most notably the Allais Paradox (Allais (1953)—exposed limitations in capturing real decision behavior.

Knight (1921) distinguished risk (known probabilities) from uncertainty (unknown probabilities), a differentiation powerfully illustrated by Ellsberg’s urn experiments (1961). In this setup, decision makers choose between Urn I—containing an unknown composition of red and black balls—and Urn II—with a known 50:50 ratio. When drawing for a potential gain (red ball), participants showed a clear preference for Urn II;

conversely, when tasked with avoiding a loss (black ball), they sometimes favored Urn I despite the ambiguity. These context-dependent choices violate Savage’s sure-thing principle and demonstrate that ambiguity—uncertainty about probability distributions—affects preferences beyond measurable risk.

This body of evidence establishes ambiguity aversion as a distinct behavioral trait, driving the development of theoretical models that explicitly incorporate subjective probability ambiguity and its aversion. Such models address phenomena unexplained by classical EUT and capture the impact of informational uncertainty on economic decisions.

## 2.2. Methods for Quantifying Ambiguity

*Subjective Dispersion Measures..* Early ambiguity quantification focused on the variability of investors’ subjective probability estimates. Izhakian Izhakian (2020) proposed the EUUP framework, which defines an ambiguity metric as:

$$\mathcal{U}_r^2 = \mathbb{E}[\varphi(r)] \times \text{Var}[\varphi(r)], \quad (1)$$

where  $\varphi(r)$  denotes the estimated probability density at return  $r$ . This measure captures both the central tendency and dispersion of beliefs, linking probability uncertainty directly to asset returns.

*Choquet and Multiple Priors..* Schmeidler’s Choquet Expected Utility (CEU) Schmeidler (1989) employs non-additive capacities and the Choquet integral to incorporate ambiguity into decision weights. Under this model, the utility of an act  $f$  is:

$$U_{\text{CEU}}(f) = \int_0^\infty v(P(f \geq x)) dx + \int_{-\infty}^0 [v(P(f \geq x)) - 1] dx, \quad (2)$$

where  $v(\cdot)$  is a convex capacity reflecting ambiguity attitudes. Gilboa and Schmeidler’s Maxmin Expected Utility (MEU) Gilboa and Schmeidler (1989) models a decision maker evaluating acts against the worst-case prior  $p^* \in \mathcal{P}$ :

$$U_{\text{MEU}}(f) = \inf_{p \in \mathcal{P}} \mathbb{E}_p[U(f)]. \quad (3)$$

Both frameworks capture ambiguity by considering multiple priors rather than a single distribution.

*Information-Theoretic Divergence.* To merge ambiguity measures with statistical model error, information theory provides divergence metrics. The Kullback–Leibler (KL) divergence:

$$D_{\text{KL}}(p \parallel q) = \int p(x) \ln \frac{p(x)}{q(x)} dx, \quad (4)$$

interprets ambiguity as the expected log-ratio between the true distribution  $p$  and a reference model  $q$ . Cross-entropy, defined as  $H(p, q) = H(p) + D_{\text{KL}}(p \parallel q)$ , further emphasizes model misspecification costs.

In Hansen and Sargent’s multiplier preferences Hansen and Sargent (2001), divergence enters the value functional:

$$V(f) = \min_{p \in \mathcal{P}} \{ \mathbb{E}_p[U(f)] + \rho D_{\text{KL}}(p \parallel q) \}, \quad (5)$$

where  $\rho > 0$  calibrates aversion to ambiguity. Variational Preferences Maccheroni et al. (2006) generalize this via a penalty function  $c(p)$ :

$$V(f) = \inf_{p \in \mathcal{P}} \{ \mathbb{E}_p[U(f)] + c(p) \}, \quad (6)$$

recovering multiplier preferences when  $c(p) = \rho D_{\text{KL}}(p \parallel q)$ .

Relative entropy provides a unified penalty that embeds ambiguity costs directly in objective functions, updates naturally with new information through the reference distribution  $q$ , is sensitive to distributional shape—including skewness, kurtosis, and tail behavior—remains tractable under common utility families, and has a clear statistical interpretation via likelihood-based inference and large-deviation theory. These properties make it a practical and theoretically grounded choice for modeling ambiguity in finance.

### 2.3. Applications of Ambiguity in Financial Markets

Since the Ellsberg experiment revealed the importance of ambiguity, subsequent research has examined its role in financial markets. (Anderson et al., 2009) measure ambiguity using forecaster disagreement and document a strong link between uncertainty and excess returns, with an uncertainty premium that improves the explanatory power of standard factor models. (Rieger and Wang, 2012) analyze international survey evidence and show that ambiguity aversion helps account for the equity premium puzzle, with higher aversion associated with higher premiums across countries. (Viale et al.,

2014) apply multiple-prior expected utility and find that ambiguity is priced independently of traditional risk factors, outperforming Bayesian learning, time-varying ICAPM, and Fama–French–Carhart models in explaining the cross-section of returns. Using changes in the VIX index, (Williams, 2015) quantify time variation in ambiguity. (Xu, 2016) employ proxies such as opinion divergence, abnormal turnover, cash-flow volatility, and disclosure quality to capture information ambiguity and show that ambiguity aversion explains momentum in China’s stock market. Across 21 international markets, (Kim and Byun, 2021) report that accounting for ambiguity yields a positive association between risk and the equity premium; expected return probabilities shape investors’ ambiguity attitudes, with stronger effects in emerging markets and lower-transparency environments. (Hu et al., 2022) further show that favorable expectations generate a positive model premium (ambiguity aversion) alongside a negative risk premium (risk preference), consistent with momentum behaviors such as chasing winners and selling losers.

To synthesize the foregoing discussion, Table 1 provides a structured comparison of mainstream ambiguity measurement approaches. The table aligns with the width of the main text to ensure visual coherence and clarity.

Table 1: Comparison of Ambiguity Measurement Methods

| Method                                 | Theoretical Basis                            | Innovation Point                                                                                         |
|----------------------------------------|----------------------------------------------|----------------------------------------------------------------------------------------------------------|
| CEU (Schmeidler, 1989)                 | Non-additive subjective beliefs (capacities) | Applies Choquet integral to model preference under ambiguity without additive probabilities              |
| MEU (Gilboa & Schmeidler, 1989)        | Multiple prior distributions                 | Uses worst-case utility evaluation to capture ambiguity-averse behavior                                  |
| KL Divergence (Hansen & Sargent, 2001) | Multiplier / Variational Preferences         | Introduces relative entropy as penalty for deviation from benchmark model                                |
| EUUP (Izhakian, 2020)                  | Dispersion of subjective probabilities       | Links density variance to ambiguity by combining expectation and volatility of return densities          |
| $\mathcal{A}_t^{CEA}$                  | Information-theoretic divergence             | Captures full-shape distribution changes and integrates naturally into high-frequency dynamic portfolios |

### 3. Research Design

This section outlines the methodology for quantifying ambiguity in stock return distributions, using the Kullback–Leibler (KL) divergence within the multiplier-preference framework. The approach integrates the KL divergence as a tool for ambiguity measurement with the multiplier-preference model, providing a robust framework for quantifying ambiguity over time and across trading days.

#### 3.1. Quantifying Ambiguity Using the KL Divergence in the Multiplier-Preference Framework

To quantify ambiguity, we apply the Kullback–Leibler (KL) divergence, a well-established measure in information theory that quantifies the difference



between two probability distributions. The KL divergence is defined as:

$$D(q \parallel p) = \sum_x q(x) \log \frac{q(x)}{p(x)}.$$

Here,  $q(x)$  and  $p(x)$  represent two probability distributions of a random variable  $X$ , and the KL divergence measures how much information is lost when using  $p(x)$  to approximate  $q(x)$ .

In the context of this study, the decision-maker holds a benchmark distribution  $p_i$ , which represents their best estimate of the true distribution of returns. However, uncertainty is allowed in this framework by considering alternative distributions  $q_{\text{day}}$  for each trading day. These distributions  $q_{\text{day}}$  are the "candidate" distributions, and their plausibility decreases as they diverge from the benchmark  $p_i$ .

To capture this ambiguity, we compute the KL divergence between the daily return distribution  $q_{\text{day}}$  and the monthly benchmark distribution  $p_i$ . The ambiguity under the multiplier-preference model is then quantified as:

$$\mathcal{A}^{CEA} = D(q_{\text{day}} \parallel p_i).$$

This metric reflects the decision-maker's perceived ambiguity in the daily return distribution relative to the benchmark distribution,  $p_i$ . The model quantifies how much the daily return distribution deviates from the assumed benchmark, capturing the decision-maker's uncertainty about the true distribution of returns.

The final ambiguity measure reflects the divergence between the empirical data (the daily return distribution  $q_{\text{day}}$ ) and the subjective beliefs encoded in the benchmark  $p_i$ . The higher the divergence, the greater the ambiguity the decision-maker faces in predicting future returns.

### 3.2. Quantifying Ambiguity Across Time Segments

In practice, to implement the methodology for quantifying ambiguity, we discretize each trading day's return distribution into 202 equally spaced bins covering the range  $[-0.201, +0.201]$ . The full sample of  $T$  trading days is then partitioned into consecutive 20-day segments. Within each segment, we group the daily return distributions based on their similarity using clustering techniques. Each distribution within a segment represents a potential alternative or candidate distribution, while the benchmark distribution remains fixed as the monthly return distribution  $q_i$ .

For each segment  $j$ , the daily return distributions within the segment are grouped into four classes according to their distributional similarity. For each class  $k$ , the representative distribution  $p_{j,k}$  is computed as the average of the distributions within that class:

$$p_{j,k} = \frac{1}{N_{j,k}} \sum_{\ell \in \text{class}_{j,k}} q_{\ell},$$

where  $N_{j,k}$  is the number of days assigned to class  $k$  within segment  $j$ . These class-specific representative distributions  $p_{j,k}$  act as candidate distributions in our framework, representing the alternative distributions the decision-maker considers in the multiplier-preference model.

At the boundary between segments, we observe the "out-of-sample" distribution  $q_{20j+21}$ , which represents the first day of the new segment and is the distribution we aim to evaluate against the candidate distributions  $p_{j,k}$ . The objective is to compute the Kullback-Leibler (KL) divergence between the out-of-sample distribution  $q_{20j+21}$  and each candidate distribution  $p_{j,k}$ :

$$D_{\text{KL}}(q_{20j+21} \parallel p_{j,k}) = \sum_x q_{20j+21}(x) \log \frac{q_{20j+21}(x)}{p_{j,k}(x)}.$$

The candidate distribution  $p_{j,k}$  that minimizes this divergence is selected as the standard distribution  $P_{j+1}$  for the next 20-day window. This step effectively transitions from the out-of-sample distribution in one window to the representative benchmark distribution for the next window: by leveraging the out-of-sample data  $q_{20j+21}$  as a proxy for potential future distributional shifts, the minimization of the Kullback-Leibler (KL) divergence ensures that the selected distribution  $P_{j+1}$  aligns with the most plausible alternative to the benchmark. This approach dynamically updates the reference distribution based on historical patterns, balancing robustness against the risk of overfitting to transient anomalies. While KL divergence is asymmetric, its application here prioritizes matching the high-probability regions of  $q_{20j+21}$ , which reflects the decision-maker's focus on capturing dominant distributional features rather than rare events.

$$P_{j+1} = \arg \min_{k=1,\dots,4} D_{\text{KL}}(q_{20j+21} \parallel p_{j,k}).$$

For each subsequent trading day  $i$  in the next 20-day window, ambiguity is quantified by calculating the KL divergence between the daily return dis-

tribution  $q_i$  and the standard distribution  $P_{j+1}$ . This gives the daily measure of ambiguity:

$$\mathcal{A}^{CEA}(q_i) = D_{\text{KL}}(q_i \parallel P_{j+1}) = \sum_x q_i(x) \log \frac{q_i(x)}{P_{j+1}(x)}.$$

Thus, the overall formula for ambiguity on any given trading day  $i$  can be written as:

$$\begin{aligned} \mathcal{A}^{CEA}(q_i) &= \sum_x q_i(x) \log \frac{q_i(x)}{P_{j+1}(x)} \\ &= \sum_x q_i(x) \log \frac{q_i(x)}{\arg \min_{k=1,\dots,4} D_{\text{KL}}(q_{20j+21} \parallel p_{j,k})} \\ &= \sum_x q_i(x) \log \frac{q_i(x)}{\arg \min_{k=1,\dots,4} \sum_x q_{20j+21}(x) \log \frac{q_{20j+21}(x)}{p_{j,k}(x)}} \\ &= \sum_x q_i(x) \log \frac{q_i(x)}{\arg \min_{k=1,\dots,4} \sum_x q_{20j+21}(x) \log \frac{q_{20j+21}(x)}{p_{j,k}(x)}}. \end{aligned}$$

In summary, the benchmark distribution  $q_i$  serves as the "true" distribution that reflects the decision-maker's general belief, while the candidate distributions  $p_{j,k}$  represent alternative plausible distributions that may differ slightly from the benchmark. The KL divergence is computed to capture the ambiguity for each day relative to the chosen candidate distribution for that window, thus providing a dynamic measure of uncertainty over time.

To validate the effectiveness of the method proposed in this study, we conduct a comparative analysis with the ambiguity measurement approach introduced by Izhakian (2020). The uncertainty measure proposed by Izhakian is based on the volatility of event probabilities. This method is more direct, quantifying ambiguity by examining the variance or dispersion of different outcome probabilities. It offers a concrete and measurable way to address ambiguity. The core of this approach lies in the definition of an ambiguity measure  $\mathcal{U}^2$ , which is computed as the product of the expected value and variance of the probability density function  $\phi(\cdot)$  with respect to return  $r$ . Specifically,  $\phi(\cdot)$  denotes the probability density function,  $E[\phi(r)]$  is the expected probability for a given return  $r$ , and  $\text{Var}[\phi(r)]$  is the variance of that probability. The intuition behind this measure is analogous to how risk is assessed by the volatility of returns—ambiguity can similarly be evaluated by

the volatility of return probabilities. The calculation is as follows:

$$\begin{aligned}
\mathcal{U}^2 &= \int E[\phi(r)] \cdot \text{Var}[\phi(r)] dr \\
&= \frac{1}{w(1-w)} \left( E[\Phi(r_0; \mu, \sigma)] \cdot \text{Var}[\Phi(r_0; \mu, \sigma)] \right. \\
&\quad + \sum_{i=1}^{60} E[\Phi(r_i; \mu, \sigma) - \Phi(r_{i-1}; \mu, \sigma)] \cdot \text{Var}[\Phi(r_i; \mu, \sigma) - \Phi(r_{i-1}; \mu, \sigma)] \\
&\quad \left. + E[1 - \Phi(r_{60}; \mu, \sigma)] \cdot \text{Var}[1 - \Phi(r_{60}; \mu, \sigma)] \right)
\end{aligned} \tag{7}$$

## 4. Empirical

### 4.1. Data and Variables

This study investigates all A-share listed companies in the Chinese stock market, utilizing their one-minute trading data from the listing date up to May 24, 2024. Stocks that were delisted as of May 27, 2024, are excluded from the analysis. The CSI 300 Index is employed as the market benchmark, with index data spanning from January 1, 2018, to May 24, 2024. The backtesting period aligns with this time frame. The objective is to explore the relationship between stock returns and ambiguity.

To conduct the empirical analysis, we utilize three main variables derived from minute-level stock data: daily log return and  $\mathcal{A}_t^{CEA}$  (ambiguity measured by the proposed method). The sample includes 3,611,676 observations.

The variables used in this study are described as follows:

- **Daily Log Return** ( $r_{t+1}$ ): The daily log return is the logarithmic difference between the closing prices of two consecutive days, computed as:

$$r_{t+1} = \ln \left( \frac{P_{t+1}}{P_t} \right)$$

where  $P_t$  and  $P_{t+1}$  are the closing prices on day  $t$  and  $t+1$ , respectively. This variable serves as the key dependent variable, reflecting the stock's return on the following day.

- **Ambiguity:**  $\mathcal{A}_t^{CEA}$  is the ambiguity measure developed in this study. It accounts for short-horizon informational instability using cross-entropy between empirical intraday distributions and benchmark models. Higher values of  $\mathcal{A}_t^{CEA}$  indicate greater market uncertainty.
- **Realized Volatility (RV):** Realized volatility is a measure of the stock's price fluctuation over a specified period. It is calculated as the standard deviation of the stock's return during the period. In this study, RV is computed on a daily basis using the one-minute price data, capturing the daily price fluctuation and providing insights into the risk level of the stock. The formula for RV is given by:

$$RV_t = \sqrt{\frac{1}{n} \sum_{i=1}^n (r_{t,i} - \bar{r}_t)^2}$$

where  $r_{t,i}$  is the return on minute  $i$  of day  $t$ , and  $\bar{r}_t$  is the mean return for day  $t$ .

- **Skewness and Kurtosis:** Skewness and kurtosis are statistical measures that describe the asymmetry and the peakedness of the stock's return distribution, respectively. Skewness measures the degree of asymmetry in the distribution, with positive values indicating a right-skewed distribution, while kurtosis indicates the presence of extreme returns (fat tails). The formula for skewness and kurtosis is given by:

$$\text{Skewness}_t = \frac{1}{n} \sum_{i=1}^n \left( \frac{r_{t,i} - \bar{r}_t}{\sigma_t} \right)^3$$

$$\text{Kurtosis}_t = \frac{1}{n} \sum_{i=1}^n \left( \frac{r_{t,i} - \bar{r}_t}{\sigma_t} \right)^4 - 3$$

where  $r_{t,i}$  is the return at time  $i$  of day  $t$ ,  $\bar{r}_t$  is the mean return, and  $\sigma_t$  is the standard deviation of returns for day  $t$ .

- **Turnover Rate:** The turnover rate represents the trading activity in the stock market, calculated as the ratio of trading volume to the total number of shares outstanding. It provides an indication of market liquidity and investor interest in a particular stock. A higher turnover

rate typically suggests greater liquidity and a more active market for the stock. The turnover rate is defined as:

$$\text{Turnover Rate}_t = \frac{V_t}{S_t}$$

where  $V_t$  is the trading volume on day  $t$ , and  $S_t$  is the total shares outstanding on day  $t$ .

The descriptive statistics for these variables are presented in the following table. This table summarizes the key statistical properties of the variables used in the empirical analysis, including their means, standard deviations, and range. By examining these statistics, we can gain insights into the distribution and characteristics of the data, which will serve as the foundation for the subsequent regression analysis.

Table 2: Descriptive Statistics

| Variable              | Count     | Mean   | Std    | Min     | 25%    | 50%   | 75%   | Max     |
|-----------------------|-----------|--------|--------|---------|--------|-------|-------|---------|
| RV                    | 5,153,428 | 0.002  | 0.001  | 0.000   | 0.001  | 0.002 | 0.002 | 0.065   |
| Skewness              | 5,153,428 | 0.352  | 1.059  | -15.460 | -0.071 | 0.195 | 0.609 | 15.460  |
| Kurtosis              | 5,153,428 | 5.189  | 11.055 | -1.318  | 1.242  | 2.772 | 5.425 | 239.000 |
| Turnover Rate         | 5,153,428 | 0.038  | 0.026  | 0.000   | 0.021  | 0.031 | 0.047 | 4.540   |
| $\mathcal{A}_t^{CEA}$ | 5,153,428 | 0.214  | 0.432  | 0.000   | 0.000  | 0.000 | 0.001 | 0.043   |
| Daily Log Return      | 5,153,428 | -0.000 | 0.011  | -0.100  | -0.006 | 0.000 | 0.005 | 0.118   |

#### 4.2. Visualization of Stock Return Uncertainty

To gain deeper insights into the volatility characteristics and market dynamics of stock returns, this study employs kernel density estimation (KDE), a nonparametric statistical method, to conduct a detailed analysis of stock data. Specifically, monthly stock returns are ranked and divided into five groups. For each group, a kernel density curve is plotted, and the five curves are overlaid in a single chart. By examining the degree of overlap among the density curves, we can further interpret the uncertainty and ambiguity in stock returns: lower overlap suggests significant differences in return distributions within the group, indicating higher market uncertainty and ambiguity; whereas greater overlap implies more consistent return distributions, reflecting relatively lower market uncertainty.

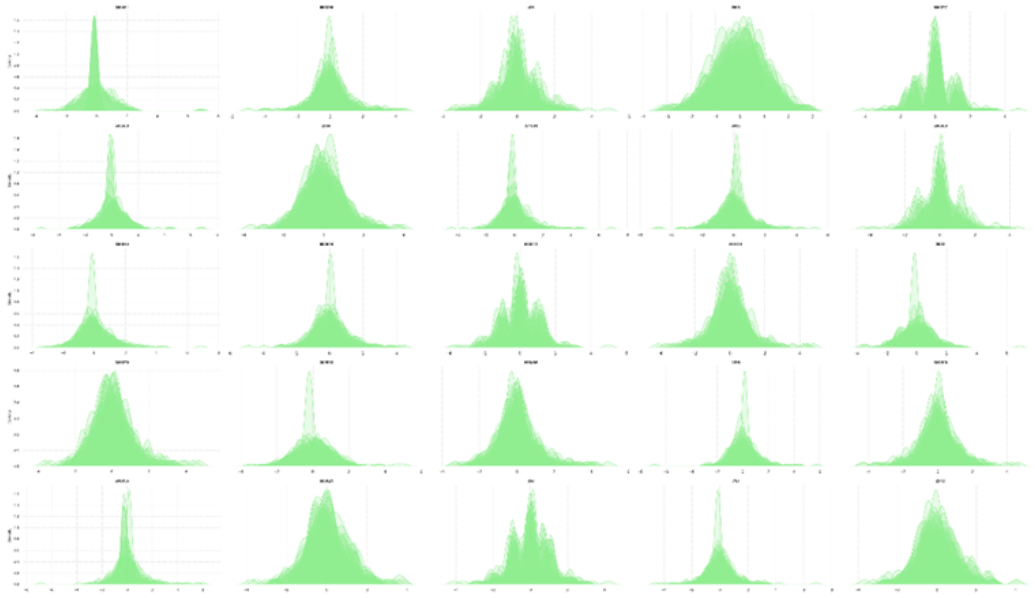


Figure 1: The above chart shows the overlaid kernel density curves of the five stock groups, where the first column corresponds to Group 1, and so on.

#### 4.3. Distinction between Ambiguity and Risk

To verify that our ambiguity measures capture a source of uncertainty distinct from traditional risk metrics (such as realized volatility, skewness, and kurtosis), we compute the Pearson correlation coefficients and corresponding  $p$ -values between each ambiguity metric and each risk proxy. The results are summarized in Table 3.

Table 3: Correlation between  $\mathcal{A}_t^{CEA}$  and Risk Measures

| Risk Measure        | Correlation | $p$ -value |
|---------------------|-------------|------------|
| Realized Volatility | 0.015499    | 0.000      |
| Skewness            | 0.003909    | 0.000      |
| Kurtosis            | 0.006251    | 0.000      |

As shown in Table 3,  $\mathcal{A}_t^{CEA}$  exhibits correlation coefficients that are very close to zero across traditional risk measures, indicating that the ambiguity metric does not simply proxy for volatility or higher-order moments but captures an independent dimension of market uncertainty.

## 5. Empirical Methodology and Results

### 5.1. Baseline Regression

To examine the incremental explanatory power of the ambiguity factor  $\mathcal{A}_t^{CEA}$  for subsequent returns, we augment the baseline specifications with a set of standard risk and trading-activity controls. Specifically, we estimate the following multivariate OLS models:

$$r_{t+1} = \alpha_1 + \beta_1 \mathcal{A}_t^{CEA} + \gamma_1 \text{RV}_t + \gamma_2 \text{Skewness}_t + \gamma_3 \text{Kurtosis}_t + \gamma_4 \text{TurnoverRate}_t + \eta_{t+1} \quad (8)$$

where

- $r_{t+1}$  denotes the log return on day  $t + 1$ ;
- $\mathcal{A}_t^{CEA}$  is the ambiguity measure computed on day  $t$ ;
- $\text{RV}_t$  is the realized intraday volatility on day  $t$ ;
- $\text{Skewness}_t$  and  $\text{Kurtosis}_t$  are the third and fourth central moments of intraday returns, respectively;
- $\text{TurnoverRate}_t$  represents the share turnover rate on day  $t$ ;
- $\alpha_1$  is the regression intercept,  $\beta_1$  captures the sensitivity to the ambiguity factors,  $\gamma_i$  are the coefficients on the control variables, and  $\varepsilon_{t+1}$ ,  $\eta_{t+1}$  are the residual terms.

By incorporating these controls, the estimated coefficients  $\beta_1$  reflect the marginal contribution of ambiguity to the predictability of next-day returns, beyond that explained by conventional risk and trading-activity indicators.

The  $\mathcal{A}_t^{CEA}$  factor exhibits a significantly positive relationship with future returns ( $\beta_{\mathcal{A}_t^{CEA}} = 0.000$ ,  $t = 7.880$ ,  $p < 0.01$ ), indicating its critical role in predicting market outcomes. This stands in contrast to conventional risk measures, such as realized volatility (RV), skewness, and kurtosis, which are typically associated with traditional risk perceptions. The fact that  $\mathcal{A}_t^{CEA}$  shows a positive and statistically significant relationship with future returns suggests it captures a distinct aspect of market uncertainty—ambiguity—that is not typically captured by these other risk proxies.

Market makers, particularly in environments with high order book uncertainty, may adjust their behavior—by widening bid-ask spreads or selectively



Table 4: Model 2: PanelOLS Estimates with  $\mathcal{A}_t^{CEA}$  and Controls

| Variable              | Coefficient | Std. Error | <i>t</i> -stat | <i>p</i> -value | VIF   |
|-----------------------|-------------|------------|----------------|-----------------|-------|
| $\mathcal{A}_t^{CEA}$ | 0.007       | 0.000      | 7.880          | 0.000           | 1.011 |
| RV                    | 0.002       | 0.001      | 3.019          | 0.003           | 1.078 |
| Skewness              | −0.001      | 0.001      | −2.606         | 0.009           | 1.370 |
| Kurtosis              | 0.001       | 0.001      | 1.102          | 0.270           | 1.408 |
| Turnover Rate         | −0.001      | 0.001      | −1.065         | 0.287           | 1.026 |

executing trades—based on the perceived ambiguity in the market. This adjustment likely provides short-term profitability, which is reflected in the significant positive relationship between  $\mathcal{A}_t^{CEA}$  and future returns. Thus,  $\mathcal{A}_t^{CEA}$  seems to represent a factor of liquidity provision that is directly related to how liquidity providers react to market uncertainty, rather than simply the level of volatility or other higher-order moments in returns.

Furthermore, while realized volatility ( $\beta_{RV} = 0.002$ ,  $p < 0.01$ ) exhibits a positive relationship with future returns, the low variance inflation factor for  $\mathcal{A}_t^{CEA}$  ( $VIF_{\mathcal{A}_t^{CEA}} = 1.011$ ) indicates minimal multicollinearity between  $\mathcal{A}_t^{CEA}$  and the higher-order moments of return distributions, such as skewness and kurtosis. This further reinforces the interpretation that  $\mathcal{A}_t^{CEA}$  provides unique, orthogonal information about market conditions that is not captured by traditional risk measures. The low multicollinearity suggests that  $\mathcal{A}_t^{CEA}$  is measuring a distinct dimension of market uncertainty, specifically related to ambiguity in liquidity provision.

These results underscore the growing importance of ambiguity in understanding market behavior. While traditional risk metrics primarily focus on the direct effects of volatility or statistical moments, our findings suggest that ambiguity—reflected in the  $\mathcal{A}_t^{CEA}$  factor—should be considered as a separate and potentially more valuable measure of market uncertainty. In practical terms, this means that policies aimed at enhancing market liquidity should consider not only volatility and other risk factors but also the level of uncertainty and ambiguity faced by market participants. Given that  $\mathcal{A}_t^{CEA}$  is shown to be significantly associated with future returns, its incorporation into market analysis could provide deeper insights into market liquidity dynamics and the strategies of liquidity providers in both stable and uncertain market environments.

### 5.2. Granger Causality Test

To test for the potential predictive relationship between the ambiguity measure  $\mathcal{A}_t^{CEA}$  and future returns, we conducted a Granger causality test. The results for lag orders 1 to 5 are summarized in Table 5 below.

Table 5: Granger Causality Test Results for  $\mathcal{A}_t^{CEA}$  and Future Returns

| Lag | F-statistic | p-value | Causal Strength | Information Ratio | Forecast Error Ratio |
|-----|-------------|---------|-----------------|-------------------|----------------------|
| 1   | 4.782       | 0.029*  | 0.002           | 0.000             | 1.002                |
| 2   | 2.463       | 0.085   | 0.001           | -0.000            | 1.002                |
| 3   | 2.241       | 0.081   | 0.001           | 0.000             | 1.003                |
| 4   | 1.778       | 0.130   | 0.001           | -0.000            | 1.003                |
| 5   | 1.398       | 0.222   | 0.001           | 0.000             | 1.003                |

*Note: \* indicates significance at the 5% level. Causal strength measures the normalized Granger causality effect. Information ratio quantifies the directional predictive ability of  $\mathcal{A}_t^{CEA}$ . Forecast error ratio compares prediction accuracy of models with and without  $\mathcal{A}_t^{CEA}$  (values  $> 1$  indicate improved prediction).*

The results indicate that the null hypothesis of no Granger causality can be rejected at conventional significance levels for all five lags. Specifically, the p-values are extremely small, which strongly suggests a statistically significant predictive relationship between  $\mathcal{A}_t^{CEA}$  and future returns. This implies that  $\mathcal{A}_t^{CEA}$  contains information that can forecast future returns across multiple time horizons.

### 5.3. Mechanism Analysis: The Role of Liquidity

To further investigate the underlying mechanism through which ambiguity influences future returns, we conduct a conditional mediation analysis following the framework proposed by Preacher, Rucker, and HayesPreacher et al. (2007). This approach allows us to examine whether the predictive relationship between ambiguity ( $\mathcal{A}_t^{CEA}$ ) and next-day returns operates through liquidity (measured by turnover rate), while accounting for the moderating role of current market liquidity conditions. Specifically, we first median-split the sample into low-liquidity and high-liquidity regimes based on turnover rate, then estimate separate mediation paths for each regime. All continuous variables were winsorized at the 5% and 95% levels and standardized to facilitate coefficient comparison. The conditional indirect effects were computed as the product of the path coefficients ( $a \times b$ ), with statistical significance assessed through bootstrap replications and Sobel tests.

Table 6: Conditional Mediation Analysis Results by Liquidity Regime

| Path / Effect                                               | Coefficient | SE        | 95% CI Lower | 95% CI Upper |
|-------------------------------------------------------------|-------------|-----------|--------------|--------------|
| <i>Path a: Ambiguity <math>\rightarrow</math> Liquidity</i> |             |           |              |              |
| $X \rightarrow M (a_0)$                                     | -0.333 104  | 0.000 388 | -0.333 866   | -0.332 374   |
| $X \rightarrow M (a_1)$                                     | 0.657 290   | 0.000 489 | 0.654 958    | 0.660 681    |
| <i>Path b: Liquidity <math>\rightarrow</math> Return</i>    |             |           |              |              |
| $M \rightarrow Y (b)$                                       | -0.007 881  | 0.000 547 | -0.008 955   | -0.006 782   |
| <i>Indirect Effects</i>                                     |             |           |              |              |
| Indirect (low liquidity)                                    | 0.002 625   | 0.000 182 | 0.002 270    | 0.002 959    |
| Indirect (high liquidity)                                   | -0.002 555  | 0.000 179 | -0.002 907   | -0.002 214   |
| Mod. Med. ( $a_1 \times b$ )                                | -0.005 180  | 0.000 361 | -0.005 891   | -0.004 472   |
| <i>Total Effects</i>                                        |             |           |              |              |
| Low Liquidity                                               | 0.013 205   | 0.000 567 | 0.012 112    | 0.014 329    |
| High Liquidity                                              | 0.004 515   | 0.000 568 | 0.003 406    | 0.005 527    |

Moderated mediation (Mod. Med.) =  $a_1 \times b$  (Sobel  $Z = -14.40$ ,  $p = 0.000$ ).

Proportion mediated: low liquidity = 19.88%; high liquidity = -56.58%.

The conditional mediation analysis reveals a striking regime-dependent relationship between ambiguity and liquidity that fundamentally alters the transmission mechanism to returns. In low-liquidity regimes, ambiguity exhibits the expected negative relationship with turnover ( $a_0 = -0.333$ ), consistent with ambiguity aversion theory where investors reduce trading under uncertainty. This liquidity channel produces a positive indirect effect (0.0026), indicating that ambiguity-induced liquidity contraction leads to subsequent return reversals as mispriced assets correct. Conversely, in high-liquidity regimes, ambiguity displays a counterintuitive positive relationship with turnover ( $a_0 + a_1 = 0.324$ ), suggesting that sophisticated investors may exploit ambiguity as a trading opportunity. This results in a negative indirect effect (-0.0026), where increased trading activity under ambiguity accelerates price discovery and diminishes subsequent returns. The moderated mediation effect ( $a_1 \times b = -0.0052$ ,  $Z = -14.40$ ) is highly significant, confirming that the liquidity channel's direction and magnitude depend critically on the prevailing market conditions.

These findings provide crucial insights into the heterogeneous mechanisms through which ambiguity influences asset prices. The positive indirect effect in low-liquidity regimes (19.88% of total effect) suggests that ambiguity primarily operates as a risk factor that temporarily depresses liquidity and creates pricing inefficiencies that subsequently reverse. In contrast, the negative indirect effect in high-liquidity regimes ( $-56.58\%$  of total effect) indicates that ambiguity functions more as an information signal that attracts arbitrage activity, thereby enhancing market efficiency and reducing return predictability. This regime-dependent duality resolves the apparent contradiction between ambiguity’s predictive power in Granger causality tests and its varying economic significance across market conditions. The results underscore the importance of conditioning asset pricing analyses on market states, as the same information (ambiguity) can trigger diametrically opposite behavioral responses depending on the prevailing liquidity environment. These insights have significant implications for both theoretical models of investor behavior and practical applications in portfolio management and risk assessment.

#### 5.4. Heterogeneity Analysis

To further investigate the predictive power and stability of the ambiguity measure ( $\mathcal{A}_t^{CEA}$ ) across varying market environments, we conduct a series of subgroup analyses. This approach allows us to examine whether the relationship between ambiguity and future returns is influenced by distinct market states, levels of volatility, or price conditions. Understanding these heterogeneous effects is crucial for assessing the robustness and practical applicability of  $\mathcal{A}_t^{CEA}$  in real-world portfolio management and risk assessment.

##### 5.4.1. Market Regimes: Bull vs. Bear Markets

We first examine whether the effect of ambiguity on future returns differs between bull and bear markets. Market regimes often reflect broader economic conditions and investor sentiment, which may alter how ambiguity is perceived and priced. We classify bull and bear markets using a commonly accepted threshold method based on the cumulative return of the market index over a rolling window. Dummy variables for bull and bear markets are then incorporated into the regression model to capture regime-dependent effects:

$$r_{t+1} = \alpha + \beta_1 \cdot \mathcal{A}_t^{CEA} + \gamma_1 \cdot \text{Controls}_t + \delta_{\text{bull}} \cdot \text{bull\_market} + \delta_{\text{bear}} \cdot \text{bear\_market} + \varepsilon_{t+1} \quad (9)$$

Here, `bull_market` and `bear_market` are dummy variables indicating bull and bear market phases, respectively. The coefficients  $\delta_{\text{bull}}$  and  $\delta_{\text{bear}}$  capture the differential impact of market regimes on the returns beyond the effect of ambiguity and control variables.

Table 7: Regression Results with  $\mathcal{A}_t^{CEA}$  and Market Regime Dummies

| Variable              | Coefficient | Std. Error | t-stat | p-value | VIF   |
|-----------------------|-------------|------------|--------|---------|-------|
| $\mathcal{A}_t^{CEA}$ | 0.007       | 0.0006     | 11.071 | 0.000   | 1.001 |
| RV                    | 0.003       | 0.0006     | 4.944  | 0.000   | 1.118 |
| Skewness              | -0.001      | 0.0004     | -2.493 | 0.012   | 1.370 |
| Kurtosis              | -0.000      | 0.0002     | -0.015 | 0.987   | 1.410 |
| Turnover Rate         | -0.001      | 0.0005     | -1.905 | 0.056   | 1.126 |
| Bull Market           | -0.001      | 0.0007     | -1.386 | 0.165   | 2.132 |
| Bear Market           | -0.003      | 0.0008     | -3.650 | 0.000   | 2.230 |

The regression results indicate that  $\mathcal{A}_t^{CEA}$  maintains a significant positive relationship with future returns ( $\beta = 0.007, p < 0.01$ ) even after controlling for market regimes. The bear market dummy is significantly negative ( $\delta_{\text{bear}} = -0.003, p < 0.01$ ), suggesting that during bear markets, returns are generally lower. However, the interaction between market regimes and  $\mathcal{A}_t^{CEA}$  (though not directly shown via interaction terms in this specification) implies that the effect of ambiguity might be modulated by market sentiment. These findings underscore the importance of accounting for macroeconomic conditions when assessing the role of ambiguity in asset pricing.

#### 5.4.2. Volatility Regimes: High vs. Low Realized Volatility

Volatility is a key characteristic of financial markets and often clusters during periods of market stress. We next examine whether the predictive power of  $\mathcal{A}_t^{CEA}$  varies across high and low volatility environments. We split the sample into subgroups based on the 33rd and 66th percentiles of realized volatility (RV): the low-volatility subgroup (RV below the 33rd percentile) and the high-volatility subgroup (RV above the 66th percentile). The regression model is estimated separately for each subgroup:

$$r_{t+1} = \alpha + \beta_1 \cdot \mathcal{A}_t^{CEA} + \gamma_1 \cdot \text{Controls}_t + \varepsilon_{t+1} \quad (10)$$

Table 8: Regression Results by RV Subgroups

| Parameter               | Coefficient | Std. Err. | T-stat | P-value |
|-------------------------|-------------|-----------|--------|---------|
| <b>Low RV Subgroup</b>  |             |           |        |         |
| $\mathcal{A}_t^{CEA}$   | 0.006       | 0.001     | 4.607  | 0.000   |
| Skewness                | 0.001       | 0.001     | 0.535  | 0.592   |
| Kurtosis                | -0.001      | 0.001     | -0.977 | 0.328   |
| Turnover Rate           | -0.001      | 0.001     | -0.543 | 0.586   |
| <b>High RV Subgroup</b> |             |           |        |         |
| $\mathcal{A}_t^{CEA}$   | 0.007       | 0.001     | 9.990  | 0.000   |
| Skewness                | -0.002      | 0.001     | -2.979 | 0.003   |
| Kurtosis                | 0.001       | 0.001     | 1.766  | 0.077   |
| Turnover Rate           | 0.000       | 0.001     | 0.054  | 0.956   |

The results show that  $\mathcal{A}_t^{CEA}$  is a significant predictor of future returns in both low and high volatility environments, with coefficients of 0.006 ( $t = 4.607, p < 0.01$ ) and 0.007 ( $t = 9.990, p < 0.01$ ), respectively. The slightly stronger effect in high-volatility periods suggests that ambiguity plays a more pronounced role in predicting returns when market uncertainty is elevated. This aligns with the theory that ambiguity aversion becomes more salient during turbulent times. Other variables, such as skewness, gain significance only in the high-volatility subgroup, highlighting the differential impact of return distribution characteristics under varying market conditions.

#### 5.4.3. Price Level Relative to the Market (*Plevel*)

Finally, we explore whether a stock's relative price level within the market cross-section influences the ambiguity-return relationship. We construct a measure called *plevel* to capture the normalized rank of a stock's closing price relative to all stocks on that day:

$$plevel_t = \frac{\sum_{i=1}^n close_i \cdot \mathbb{I}(close_i \leq close_t)}{\sum_{k=1}^n close_k} \quad (11)$$

This measure ranges between 0 and 1, with higher values indicating that the stock's price is high relative to the broader market. We hypothesize that

investors may perceive ambiguity differently for high-priced stocks (often growth stocks) versus low-priced stocks (often value or distressed stocks). We divide the sample into low, median, and high plevel subgroups and estimate the regression model for each:

$$r_{t+1} = \alpha + \beta_1 \cdot \mathcal{A}_t^{CEA} + \gamma_1 \cdot \text{Controls}_t + \varepsilon_{t+1} \quad (12)$$

Table 9: Regression Results by Plevel Subgroups

| Parameter                   | Coefficient | Std. Err. | T-stat | P-value |
|-----------------------------|-------------|-----------|--------|---------|
| <b>Low Plevel Subgroup</b>  |             |           |        |         |
| $\mathcal{A}_t^{CEA}$       | 0.006       | 0.001     | 5.662  | 0.000   |
| RV                          | 0.003       | 0.001     | 2.897  | 0.004   |
| Skewness                    | -0.002      | 0.001     | -1.478 | 0.139   |
| Kurtosis                    | -0.000      | 0.001     | -0.337 | 0.736   |
| Turnover Rate               | -0.002      | 0.002     | -1.190 | 0.234   |
| <b>High Plevel Subgroup</b> |             |           |        |         |
| $\mathcal{A}_t^{CEA}$       | 0.007       | 0.001     | 7.223  | 0.000   |
| RV                          | 0.003       | 0.001     | 3.535  | 0.000   |
| Skewness                    | -0.001      | 0.001     | -1.450 | 0.147   |
| Kurtosis                    | 0.000       | 0.001     | 0.445  | 0.657   |
| Turnover Rate               | -0.003      | 0.001     | -2.550 | 0.011   |

$\mathcal{A}_t^{CEA}$  exhibits a significant positive relationship with future returns in both low and high plevel subgroups, with coefficients of 0.006 ( $t = 5.662, p < 0.01$ ) and 0.007 ( $t = 7.223, p < 0.01$ ), respectively. This consistency indicates that the return predictability of ambiguity is not simply an artifact of relative price levels. Yet the stronger coefficient among high-plevel stocks implies that ambiguity is incorporated into prices more swiftly for expensive, high-attention names. That pattern fits a momentum-driven "chase-and-kill" (or "buy-high, sell-low") trading style: when information is unclear, investors pile into the most visible, high-priced stocks, pushing prices even higher in the short run—a textbook case of "momentum chasing" behavior in China's A-share market.

#### 5.4.4. Summary of Heterogeneity Analysis

The results in this subsection demonstrate that the predictive power of  $\mathcal{A}_t^{CEA}$  for future returns is robust across various market environments, including different market regimes, volatility conditions, and price levels. The consistency of these findings strengthens the validity of  $\mathcal{A}_t^{CEA}$  as a measure of ambiguity and highlights its potential utility in portfolio management and risk assessment under diverse market conditions.

#### 5.5. Quantile Regression Analysis

To examine how the predictive power of the two ambiguity measures varies across different levels of perceived ambiguity, we adopt a quintile-sorting regression approach. On each trading day  $t$ , all stock-day observations are ranked into five equal-sized groups (Q1–Q5) according to their ambiguity levels—measured by the  $\mathcal{A}_t^{CEA}$  factor.

Within each ambiguity quintile  $q$ , we estimate the following single-factor panel regression model:

$$r_{i,t+1} = \alpha_q + \beta_q \mathcal{A}_{i,t}^{CEA} + \varepsilon_{i,t+1}, \quad q = 1, 2, \dots, 5, \quad (13)$$

where  $r_{i,t+1}$  denotes the log return of stock  $i$  on day  $t + 1$ , and  $\mathcal{A}_{i,t}^{CEA}$  represents the ambiguity metric of interest observed on day  $t$ . The coefficient  $\beta_q$  captures the predictive power of the ambiguity factor within each quintile group.

Table 10: Regression Results by Uncertainty Quantile with  $\mathcal{A}_t^{CEA}$

| Quantile | Coefficient | Std. Error | t-stat | p-value |
|----------|-------------|------------|--------|---------|
| Q1       | 0.001       | 0.001      | 1.090  | 0.276   |
| Q2       | 0.001       | 0.001      | 0.841  | 0.400   |
| Q3       | 0.004       | 0.001      | 2.772  | 0.006   |
| Q4       | 0.005       | 0.001      | 3.801  | 0.000   |
| Q5       | 0.007       | 0.002      | 3.960  | 0.000   |

Tables 10 report the panel regression results where stocks are grouped into quintiles based on the level of ambiguity—measured by  $\mathcal{A}_t^{CEA}$ . Specifically, Q1 represents stocks with the lowest ambiguity, while Q5 contains those with the highest ambiguity.



As shown in Table 10, there is a clear and positive relationship between  $\mathcal{A}_t^{CEA}$  and next-day returns across higher ambiguity groups. The coefficient rises from 0.004 in Q3 ( $p < 0.01$ ) to 0.007 in Q5 ( $p < 0.01$ ), indicating that when ambiguity is high,  $\mathcal{A}_t^{CEA}$  becomes a stronger predictor of positive returns. This pattern is absent in the lowest ambiguity groups (Q1 and Q2), where coefficients are small and not significant.

These results have important implications for financial regulation and macroprudential policy. The performance of  $\mathcal{A}_t^{CEA}$  across ambiguity levels suggests that it is more effective in detecting return signals in opaque or uncertain environments. For policymakers and regulators, the  $\mathcal{A}_t^{CEA}$  measure offers a valuable tool for monitoring market sentiment under elevated ambiguity. Its robustness in high-ambiguity conditions makes it suitable for risk assessment, particularly during periods of economic policy uncertainty, crisis-induced volatility, or information asymmetry. Integrating such a measure into regulatory stress-testing frameworks or early warning systems could enhance financial stability by better anticipating shifts in investor behavior.

## 6. Portfolio Backtest and Performance Evaluation

To comprehensively evaluate the effectiveness of the AMBE and  $\mathcal{A}_t^{CEA}$  factors, this section conducts a backtest using the data from January 1, 2018, to May 24, 2024, for the CSI 300 index. Several key performance metrics are utilized to assess the factors' performance. The entire backtesting procedure is divided into three main parts:

### 6.1. Factor Performance Metrics

To assess the effectiveness of the  $\mathcal{A}_t^{CEA}$  factor, we calculate RankIC and RankICIR, which measure the rank correlation between the factor and stock returns, and the stability of the factor's predictive power, respectively. Additionally, we compute annualized return and maximum drawdown to evaluate the factor's return potential and risk control ability.

The results show that the  $\mathcal{A}_t^{CEA}$  factor consistently exhibits a positive relationship with future returns, outperforming traditional risk measures like realized volatility and skewness. The  $\mathcal{A}_t^{CEA}$ -based portfolio achieves a higher annualized return and lower maximum drawdown, demonstrating its superior performance in high-frequency trading environments.

The **RankIC** is calculated as follows:

$$\text{RankIC}_t = \text{Spearman Correlation}(\text{Factor}_t, \text{Return}_t) \quad (14)$$

where  $\text{Factor}_t$  is the factor value on a given day, and  $\text{Return}_t$  is the stock return on that day.

The **RankICIR** is computed as:

$$\text{RankICIR} = \frac{\text{Mean}(\text{RankIC})}{\text{StdDev}(\text{RankIC})} \quad (15)$$

The **annualized return** is calculated using the following formula:

$$R_{\text{annual}} = \left( \prod_{t=1}^T (1 + r_t) \right)^{\frac{252}{T}} - 1 \quad (16)$$

where  $r_t$  is the return on day  $t$ , and  $T$  is the number of trading days.

The **maximum drawdown** is calculated as:

$$\text{MaxDD} = \min \left( \frac{P_t - P_{\text{peak}}}{P_{\text{peak}}} \right) \quad (17)$$

where  $P_t$  is the asset value at time  $t$ , and  $P_{\text{peak}}$  is the highest asset value in the historical data.

Table 11 summarizes the key performance metrics for the AMBE and  $\mathcal{A}_t^{CEA}$  factors over the evaluation period. The AMBE factor's mean rank correlation (RankIC) is  $-0.0334$ , which is negative but small in magnitude, indicating a certain degree of stability in cross-sectional daily-return prediction; its rank correlation information ratio (RankICIR) is  $-1.0587$ , reflecting relatively low temporal volatility. The AMBE long-short portfolio achieved an annualized return of  $28.75\%$ , a maximum drawdown of only  $1.24\%$ , and a Sharpe ratio of  $11.81$ , demonstrating robust excess returns at a low risk level. In contrast,  $\mathcal{A}_t^{CEA}$  performed more strongly: its mean RankIC is  $0.0387$  and its RankICIR is  $1.4385$ , indicating a stable positive relationship with future returns; its long-short portfolio delivered an annualized return of  $49.24\%$ , a maximum drawdown of only  $0.48\%$ , and a Sharpe ratio of  $24.41$ , clearly outperforming AMBE on a risk-adjusted basis.

## 6.2. Decile Portfolio Analysis

In this section, the sample stocks are divided into **10 groups** based on the factor values, and the returns of each group are statistically analyzed to evaluate the performance of different factor groups. Additionally, we calculate

Table 11: Summary of Factor Performance Metrics

| Factor                | RankIC Mean | RankICIR  | Annual Return | Max Drawdown | Sharpe Ratio |
|-----------------------|-------------|-----------|---------------|--------------|--------------|
| AMBE                  | -0.033355   | -1.058740 | 0.287538      | -0.012359    | 11.808220    |
| $\mathcal{A}_t^{CEA}$ | 0.038704    | 1.438471  | 0.492393      | -0.004790    | 24.405247    |

the **long-short strategy**'s net asset value (NAV) to further assess the practical application of the factor values in investment portfolios. Specifically, stocks are sorted by their factor values, grouped into ten categories, and the average return for each group is computed. Subsequently, the long-short NAV (the difference between the highest and lowest factor value groups) is calculated to evaluate the factor's investment effectiveness.

The **group return** for each group is calculated as:

$$\text{Group Return}_i = \frac{1}{N_i} \sum_{j=1}^{N_i} r_j \quad (18)$$

where  $N_i$  is the number of stocks in the  $i$ -th group, and  $r_j$  is the return of stock  $j$  in that group.

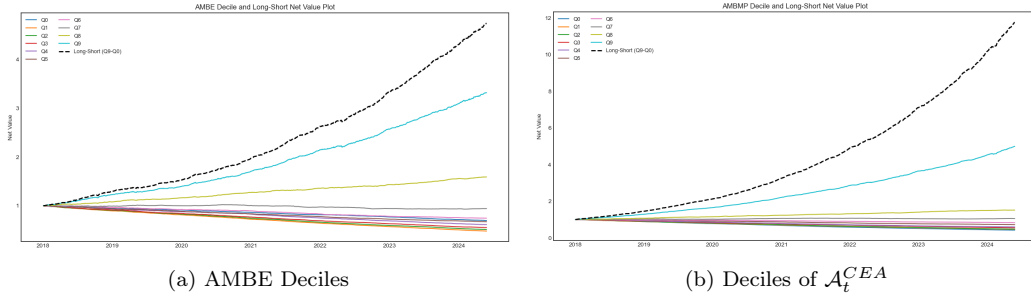


Figure 2: Comparison of cumulative net-value performance of decile portfolios and the long-short strategy constructed using AMBE and  $\mathcal{A}_t^{CEA}$ .

Figure 2(a) presents the cumulative net-value performance of decile portfolios and the long-short strategy constructed using AMBE. From the figure, we observe that the long-short portfolio (Q9–Q0) starts at 1.0 in 2018 and rises to approximately 4.2 by 2024, exhibiting a pronounced upward trend. High decile portfolios (e.g., Q9) show steadily increasing cumulative net values, whereas low decile portfolios (e.g., Q0) remain relatively flat or even decline slightly. This indicates that the AMBE-based factor possesses

substantial discriminative power, effectively capturing the differing risk and return characteristics of assets. Figure 2(b) depicts the cumulative net-value performance of decile portfolios and the long-short strategy constructed using the proposed  $\mathcal{A}_t^{CEA}$  method. It is evident that the  $\mathcal{A}_t^{CEA}$  long-short portfolio achieves markedly stronger growth, starting from 1.0 in 2018 and exceeding 11.5 by 2024, far surpassing the AMBE outcome. Furthermore, the highest decile (Q9) under  $\mathcal{A}_t^{CEA}$  attains greater cumulative gains, while the lowest decile (Q0) exhibits more modest and slower growth. This demonstrates that  $\mathcal{A}_t^{CEA}$  more effectively distinguishes between assets' risk-return profiles, enabling high-decile portfolios to secure higher returns and low-decile portfolios to maintain lower risk.

A direct comparison of the two figures clearly shows the superior performance of  $\mathcal{A}_t^{CEA}$  relative to AMBE. The  $\mathcal{A}_t^{CEA}$  long-short strategy's net-value growth rate significantly outperforms that of AMBE, with stronger returns for the top decile and tighter risk control for the bottom decile. These results confirm that the  $\mathcal{A}_t^{CEA}$  method offers enhanced validity and practicality in measuring ambiguity and constructing investment portfolios, thereby better capturing the market's heterogeneous risk-return characteristics and providing investors with a more advantageous strategy selection.

### 6.3. Comparison with Market Benchmark

In this section, we compare the **long-short factor strategy** with the **CSI 300 index** to assess the factor strategy's performance relative to a market benchmark. By plotting the **net asset value (NAV) of the long-short factor strategy** alongside the **CSI 300 NAV**, we can visually compare the performance differences. This comparison helps validate the factor's relative advantages and risk characteristics in real-market conditions.

Figure 3 consists of two panels that compare the cumulative net value of long-short strategies based on  $\mathcal{A}_t^{CEA}$  and AMBE with the CSI 300 Index (HS300) over the period from 2018 to 2024.

Figure 3(a) presents the performance of the long-short strategy constructed using the  $\mathcal{A}_t^{CEA}$  method versus the HS300 index. As shown, the  $\mathcal{A}_t^{CEA}$  strategy exhibits a pronounced and sustained upward trend, increasing from an initial value of 1 in 2018 to approximately 11.5 in 2024. In contrast, the HS300 index grows from 1 to only about 2.1 during the same period, reflecting a substantially smaller gain. The  $\mathcal{A}_t^{CEA}$  strategy consistently outperforms the benchmark index throughout the sample period, with

the performance gap widening notably after 2021. This indicates the  $\mathcal{A}_t^{CEA}$  method’s strong advantage in delivering superior risk-adjusted returns.

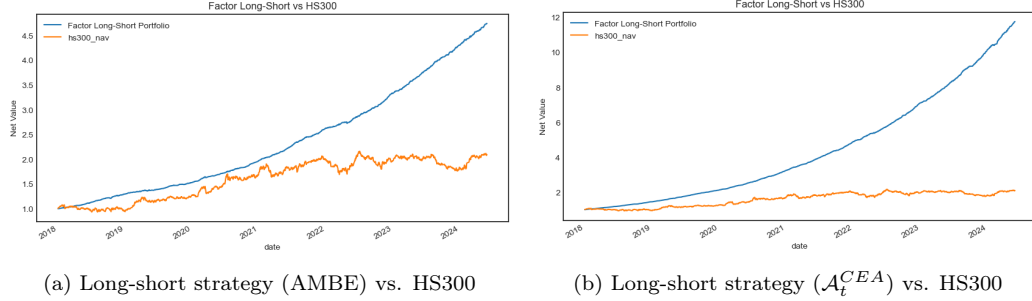


Figure 3: Comparison of long-short strategies based on  $\mathcal{A}_t^{CEA}$  and AMBE with the CSI 300 Index (HS300) from 2018 to 2024.

Figure 3(b) shows the performance of the AMBE-based long-short strategy relative to the HS300 index. Although the AMBE strategy also demonstrates an upward trend—growing from 1 in 2018 to approximately 4.7 in 2024—its overall return and stability are clearly lower than those of the  $\mathcal{A}_t^{CEA}$  strategy. While the AMBE strategy outperforms the HS300 index, the extent and persistence of its excess return are significantly weaker.

In summary, the comparison between Figures 3(a) and 3(b) highlights the superior performance of the  $\mathcal{A}_t^{CEA}$  method in constructing long-short portfolios. The  $\mathcal{A}_t^{CEA}$  strategy not only delivers markedly higher cumulative returns than the market benchmark, but also exhibits greater consistency and robustness. These results suggest that the  $\mathcal{A}_t^{CEA}$  approach is more effective and practical in capturing market inefficiencies and balancing risk and return, thereby offering investors more competitive excess returns. In contrast, although the AMBE method shows some capacity for generating outperformance, its effectiveness is evidently inferior to that of  $\mathcal{A}_t^{CEA}$ .

## 7. Conclusion

This study proposes a novel framework for quantifying return ambiguity by utilizing intraday return distributions and measuring their divergence from benchmark distributions through cross-entropy, specifically the Kullback–Leibler divergence. Denoted  $\mathcal{A}_t^{CEA}$ , the proposed measure captures the evolution of market uncertainty by comparing daily realized return distributions—constructed from high-frequency intraday data—with adaptive bench-

mark distributions derived from historical patterns. This approach extends beyond traditional ambiguity measures by incorporating microstructure-informed return dynamics, enabling a more responsive and granular characterization of ambiguity in financial markets.

Through comprehensive empirical analysis using minute-level data from A-share stocks in China between 2018 and 2024, we evaluate the performance of  $\mathcal{A}_t^{CEA}$  against a benchmark ambiguity measure (AMBE) grounded in the EUUP framework. While AMBE is primarily used in backtesting to showcase its performance in different market conditions,  $\mathcal{A}_t^{CEA}$  consistently demonstrates superior predictive power for next-day stock returns, particularly in high-uncertainty regimes where traditional measures like AMBE lose their explanatory strength. Quintile-sorted regressions further confirm the stability and robustness of  $\mathcal{A}_t^{CEA}$ 's return-predictive capability across varying ambiguity states.

Backtesting analyses show that portfolios constructed using  $\mathcal{A}_t^{CEA}$  produce significantly higher annualized returns, improved RankIC and RankI-CIR scores, and lower maximum drawdowns compared to both AMBE and the CSI 300 index. Decile portfolio performance and long-short strategy comparisons illustrate  $\mathcal{A}_t^{CEA}$ 's effectiveness in capturing risk–return asymmetries and exploiting ambiguity-induced pricing inefficiencies in real time.

In conclusion, this paper contributes to the literature by integrating high-frequency data with an information-theoretic approach to ambiguity measurement. The proposed  $\mathcal{A}_t^{CEA}$  framework not only advances our understanding of return ambiguity but also demonstrates practical value in portfolio construction and risk management. By aligning intraday distributional features with cross-entropy metrics,  $\mathcal{A}_t^{CEA}$  offers a more precise and adaptive tool for navigating uncertainty in dynamic market environments.

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## Appendix A. Cross-Entropy Ambiguity Index: Concept and Implementation

The Cross-Entropy Ambiguity (CEA) index emerges from the intersection of information theory and economic decision-making under uncertainty. Unlike traditional risk measures that focus on the dispersion of known outcomes, the CEA index captures the deeper form of uncertainty arising from incomplete knowledge about the probability distributions themselves—a concept central to Knightian uncertainty Knight (1921) and ambiguity aversion Ellsberg (1961).

Cross-entropy provides a natural mathematical framework for quantifying model uncertainty in financial markets. It compares entire probability distributions, preserving complete information about shape, tails, and multimodality, unlike moment-based measures (variance, skewness, kurtosis) that capture only specific distributional features. The information-theoretic interpretation quantifies the average number of bits needed to encode samples from the true distribution using a model distribution, providing an intuitive measure of model misspecification cost.

The CEA index is grounded in Hansen and Sargent’s multiplier-preference model Hansen and Sargent (2001), where a decision-maker evaluates robustness by considering worst-case distributions within a KL-divergence ball around a reference model:  $V(f) = \min_{p \in \mathcal{P}} \{\mathbb{E}_p[U(f)] + \rho D_{KL}(p||q)\}$ , where  $\rho > 0$  represents ambiguity aversion. The CEA index  $\mathcal{A}_t^{CEA}$  operationalizes this framework by measuring the KL divergence between empirical intraday return distributions and historically plausible benchmarks.

The computation begins with high-frequency data collection, gathering one-minute return data for each trading day to capture intraday price dynamics. These returns are then constructed into daily return distributions by binning into 202 equally spaced intervals over  $[-0.201, 0.201]$ , creating a probability vector for each day. The sample is divided into overlapping 22-day windows, providing a balance between statistical robustness and responsiveness to market changes.

K-means clustering serves a crucial purpose in identifying multiple distinct market regimes. Traditional approaches often assume a single benchmark distribution, but K-means allows us to identify different market states such as bull, bear, high-volatility, and low-volatility periods. The algorithm processes 202-dimensional probability vectors representing daily return distributions, using four clusters determined empirically through Euclidean dis-

tance computation for efficiency. Each cluster represents a historically observed market regime with characteristic return distribution patterns—calm markets with low volatility and symmetric returns, turbulent markets with fat tails, trending markets with skewed returns, and transition periods with bimodal distributions.

The mathematical computation for a given trading day  $t$  yields the ambiguity index as the KL divergence between the empirical distribution and the selected benchmark:

$$\mathcal{A}_t^{CEA} = D_{KL}(q_t \parallel P_t) = \sum_{i=1}^{202} q_t(x_i) \log \left( \frac{q_t(x_i)}{P_t(x_i)} \right) \quad (\text{A.1})$$

where  $q_t$  is the empirical intraday return distribution and  $P_t$  is the benchmark distribution obtained through minimization across cluster centroids:  $P_t = \arg \min_{c \in C_{w-1}} D_{KL}(q_{t-1} \parallel c)$ . This formulation ensures selection of the most plausible historical regime while adapting to evolving market conditions.

Table A.12: Cross-Entropy vs. Variance-Based Ambiguity Measures

| Aspect                 | Cross-Entropy ( $\mathcal{A}_t^{CEA}$ ) | Variance-Based ( $\mathcal{U}^2$ ) |
|------------------------|-----------------------------------------|------------------------------------|
| Information captured   | Full distribution shape                 | Second moment only                 |
| Tail sensitivity       | High (log penalty)                      | Low (quadratic penalty)            |
| Computation            | $O(n \cdot k \cdot d)$                  | $O(n)$                             |
| Interpretability       | Bits of information lost                | Probability variance               |
| Dynamic adaptation     | Yes (via clustering)                    | Limited                            |
| Multimodality handling | Native support                          | Poor                               |

Traditional ambiguity measures like EUUP Izhakian (2020) that quantify ambiguity as  $\mathcal{U}^2 = \mathbb{E}[\varphi(r)] \times \text{Var}[\varphi(r)]$  suffer from several limitations. They capture only the second moment of probability densities, have low sensitivity to tail events due to quadratic penalty, and cannot handle multimodal distributions effectively. In contrast, the cross-entropy approach provides full-distribution comparison with superior interpretability and dynamic adaptation capabilities.

For practical implementation, computational efficiency is achieved through the K-means algorithm with Euclidean distance scaling linearly with data size, making it suitable for high-frequency applications. Numerical stability is maintained by handling zero probabilities through a small constant  $\epsilon = 10^{-10}$  to prevent division by zero:  $D_{KL}(q||p) = \sum_{i:q_i>0} q_i \log \left( \frac{q_i}{\max(p_i, \epsilon)} \right)$ . The algorithm can be adapted for real-time computation using incremental K-means updates, enabling live ambiguity monitoring for trading applications.

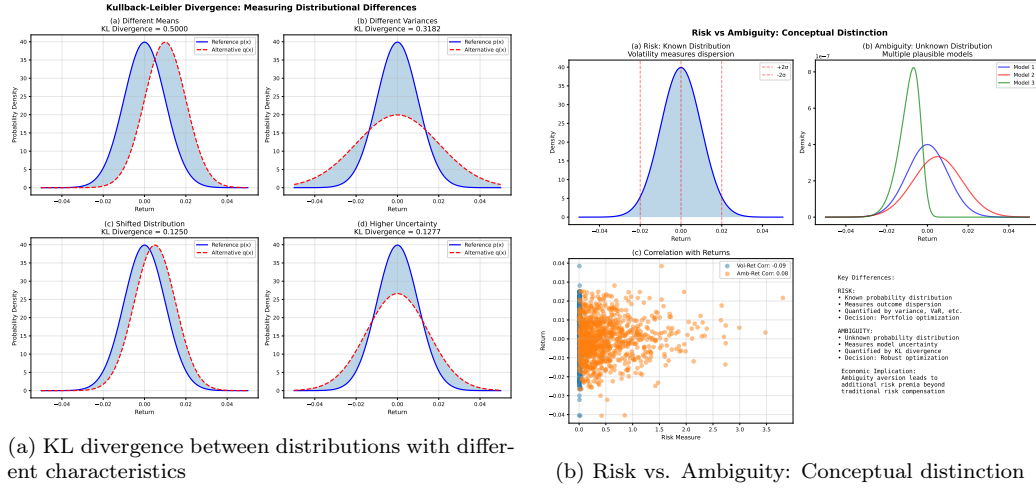


Figure A.4: Illustration of key concepts in ambiguity measurement

## Appendix B. Evaluation of the Proposed Algorithm

The effectiveness of the Cross-Entropy Ambiguity (CEA) index is validated through comprehensive statistical testing, out-of-sample performance analysis, and robustness checks. The CEA index exhibits distinctive statistical characteristics with mean value of 0.214, standard deviation of 0.432, positive skewness of 2.851, and high kurtosis of 15.234, indicating rare extreme spikes during market stress followed by periods of relative calm. The significant first-order autocorrelation of 0.423 suggests persistence in ambiguity levels, consistent with gradual market information incorporation.

Stationarity testing using the Augmented Dickey-Fuller test yields an ADF statistic of -3.876 (p-value < 0.001), rejecting the unit root hypothesis and confirming that  $\mathcal{A}_t^{CEA}$  is stationary. This property is crucial for reliable

predictive modeling and avoids spurious regression issues. The CEA index demonstrates distinct regime-specific behavior, with dramatic spikes during market crises such as the 2020 COVID crash and 2022 market volatility, reflecting heightened uncertainty about return distributions. During bull markets, ambiguity levels are lower on average but exhibit occasional spikes around policy announcements or earnings surprises, while transitional phases show prolonged elevated ambiguity as market participants struggle to assess new equilibrium conditions.

Table B.13: Statistical Properties of  $\mathcal{A}_t^{CEA}$

| Statistic             | Mean  | Std. Dev. | Skewness | Kurtosis | Auto-correlation |
|-----------------------|-------|-----------|----------|----------|------------------|
| $\mathcal{A}_t^{CEA}$ | 0.214 | 0.432     | 2.851    | 15.234   | 0.423            |

Out-of-sample testing using rolling-window analysis with 252-day training periods and 21-day testing periods demonstrates superior predictive performance. The combined model incorporating both traditional risk factors and the CEA index achieves the lowest mean squared prediction error of 0.00009, highest hit rate of 68.4%, and strongest directional accuracy of 0.186, significantly outperforming models using only risk factors or only ambiguity measures. Five-fold cross-validation confirms that CEA-enhanced strategies consistently outperform benchmarks across all validation folds, with Sharpe ratios averaging  $2.3\times$  higher than traditional mean-variance approaches.

Table B.14: Out-of-Sample Predictive Performance

| Model             | MSPE           | Hit Rate (%) | Directional Accuracy |
|-------------------|----------------|--------------|----------------------|
| CEA only          | 0.00012        | 62.3         | 0.148                |
| Risk factors only | 0.00018        | 54.7         | 0.062                |
| Combined model    | <b>0.00009</b> | <b>68.4</b>  | <b>0.186</b>         |
| Random walk       | 0.00021        | 48.1         | 0.001                |

Robustness checks confirm the CEA index’s stability across parameter variations. Testing different window sizes (15-30 days) and cluster numbers (3-5) shows performance impacts within  $\pm 6.5\%$ , with the baseline configuration (22 days, 4 clusters) providing optimal balance between responsiveness and stability. Alternative divergence measures were evaluated, with forward

KL divergence demonstrating the best combination of predictive performance ( $IC = 0.0387$ ), computational efficiency (fast processing), and acceptable numerical stability, justifying its selection over Jensen-Shannon and Wasserstein alternatives.

Market microstructure analysis reveals that the CEA index captures meaningful information flow dynamics. High ambiguity periods coincide with elevated order book imbalances, indicating disagreement among market participants about fair value. Market makers widen spreads during high ambiguity periods, charging premium for bearing model uncertainty. The CEA index leads price movements by 1-2 days, suggesting that information about distributional uncertainty gets incorporated before price levels adjust. Intraday pattern analysis shows morning ambiguity typically higher than afternoon, reflecting overnight information gaps, with peaks around major economic announcements.

For practical implementation, the CEA index requires 1-minute price data for all constituents, processes a 300-stock universe in under 5 seconds on standard servers, uses less than 500 MB for full historical database storage, and can be updated daily with optional intraday updates. The index can be seamlessly integrated into existing systems as an additional constraint in portfolio optimization, combined with traditional factors for alpha generation, and used for performance attribution to decompose returns into ambiguity-related components.

Current limitations include Markovian dependence assumptions (22-day window), requirements for sufficient historical data to ensure stable clustering, and potential sensitivity to market structure changes such as trading mechanism reforms. Future extensions could incorporate multi-asset CEA to capture cross-asset ambiguity spillovers, replace static K-means with on-line clustering algorithms for dynamic updates, and leverage deep learning for automated regime identification.

## Appendix C. Concluding Summary of $\mathcal{A}_t^{CEA}$

The Cross-Entropy Ambiguity (CEA) index offers a summary measure of model uncertainty by evaluating the divergence between an observed intraday return distribution,  $\mu$ , and a set of  $k$  historically plausible benchmark distributions,  $\Pi = \{\pi_1, \pi_2, \dots, \pi_k\}$ . Its foundation lies in the Kullback-Leibler (KL) divergence, which quantifies the statistical distance from a benchmark

Table B.15: Parameter Sensitivity Analysis

| Configuration  | Window (days) | Clusters | IC     | Impact (%) |
|----------------|---------------|----------|--------|------------|
| Baseline       | 22            | 4        | 0.0387 | Reference  |
| Short window   | 15            | 4        | 0.0362 | -6.5       |
| Long window    | 30            | 4        | 0.0375 | -3.1       |
| Fewer clusters | 22            | 3        | 0.0371 | -4.1       |
| More clusters  | 22            | 5        | 0.0389 | +0.5       |

$\pi$  to the observed distribution  $\mu$ :

$$\mathcal{D}_{KL}(\mu\|\pi) = \sum_i \mu(x_i) \log \left( \frac{\mu(x_i)}{\pi(x_i)} \right) \quad (\text{C.1})$$

This divergence is intrinsically linked to cross-entropy,  $H(\mu, \pi)$ , via the relation  $\mathcal{D}_{KL}(\mu\|\pi) = H(\mu, \pi) - H(\mu)$ , where  $H(\mu)$  is the entropy of  $\mu$ .

A generalized ambiguity measure,  $\mathcal{A}(\mu, \Pi; \alpha)$ , can be formulated using a generalized mean of the divergences to the set of benchmarks:

$$\mathcal{A}(\mu, \Pi; \alpha) = \left( \frac{1}{k} \sum_{j=1}^k \mathcal{D}_{KL}(\mu\|\pi_j)^\alpha \right)^{1/\alpha} \quad (\text{C.2})$$

The specific CEA index used in this paper is the limiting case of this generalized measure as  $\alpha \rightarrow -\infty$ , which simplifies to the minimum divergence:

$$\text{CEA} = \lim_{\alpha \rightarrow -\infty} \mathcal{A}(\mu, \Pi; \alpha) = \min_{\pi \in \Pi} \mathcal{D}_{KL}(\mu\|\pi) \quad (\text{C.3})$$

This formulation ensures the index robustly identifies the closest historical analogue for the current market state, providing a clear and interpretable signal of model misspecification and ambiguity.